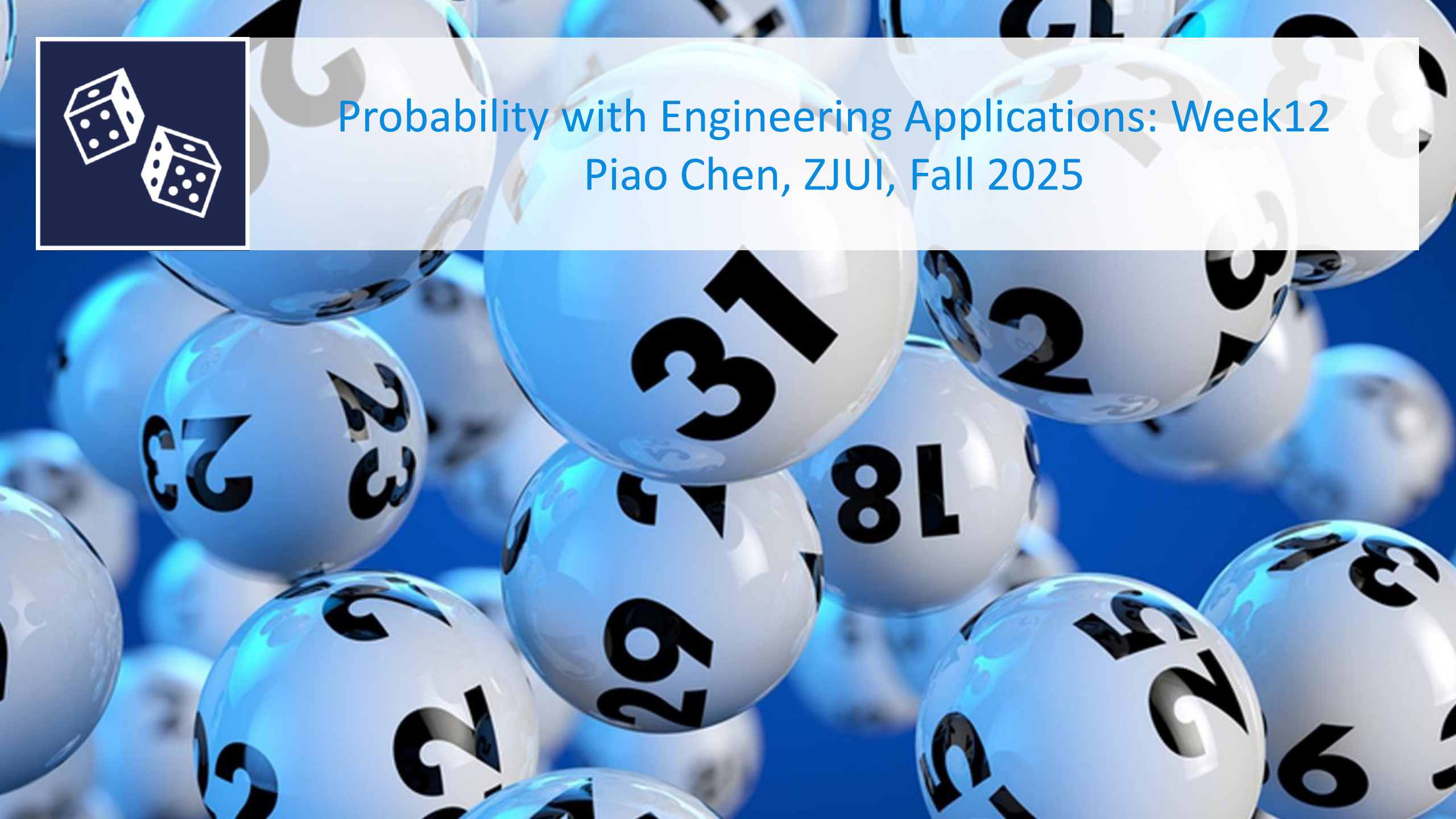




Probability with Engineering Applications: Week12

Piao Chen, ZJUI, Fall 2025



Programme

- Mean squared error
- Minimum mean square error estimators
- Binary hypothesis testing

Efficiency and mean squared error

Bias and variance

It is (often) desirable to seek **unbiased** estimators, i.e., to find estimators $\hat{\mu}$ and $\hat{\sigma}^2$ such that

$$E[\mu - \hat{\mu}] = 0 \quad \text{and} \quad E[\sigma^2 - \hat{\sigma}^2] = 0$$

Ideal estimators have high accuracy (unbiased) and high precision (low variance)



High Accuracy
High Precision



Low Accuracy
High Precision



High Accuracy
Low Precision



Low Accuracy
Low Precision

Drawing balls from an urn

An urn contains N balls, labeled $\{1, 2, \dots, N\}$. We draw three balls, with replacement.

How can we estimate N , based on this sample x_1, x_2, x_3 ?

$$T_1 = X_1$$

$$E[T_1] = \frac{1}{2}(N + 1)$$

$$T_2 = \bar{X}_3$$

$$E[T_2] = \frac{1}{2}(N + 1)$$

$$T_3 = \max(X_1, X_2, X_3)$$

$$E[T_3] = \frac{3}{4}N + \frac{1}{2} - \frac{1}{4N}$$



Mean squared error

Definition:

Let T be an estimator for the parameter θ .
The mean squared error of T is defined as:

$$\text{MSE}(T) = E[(T - \theta)^2].$$

Corollary:

$$\begin{aligned}\text{MSE}(T) &= \text{Var}(T) + (E[T] - \theta)^2 \\ &= \text{Variance} + \text{Bias}^2\end{aligned}$$



Efficiency

Definition:

Let T_1 and T_2 be two estimators for the same parameter. If

$$\text{MSE}(T_2) < \text{MSE}(T_1),$$

we say that T_2 is more efficient than T_1 .

Corollary:

Let T_1 and T_2 be unbiased estimators for the same parameter. If

$$\text{Var}(T_2) < \text{Var}(T_1),$$

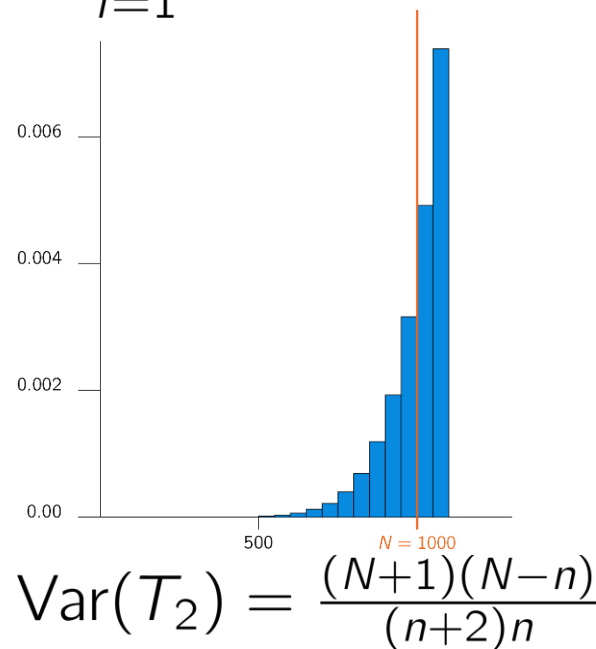
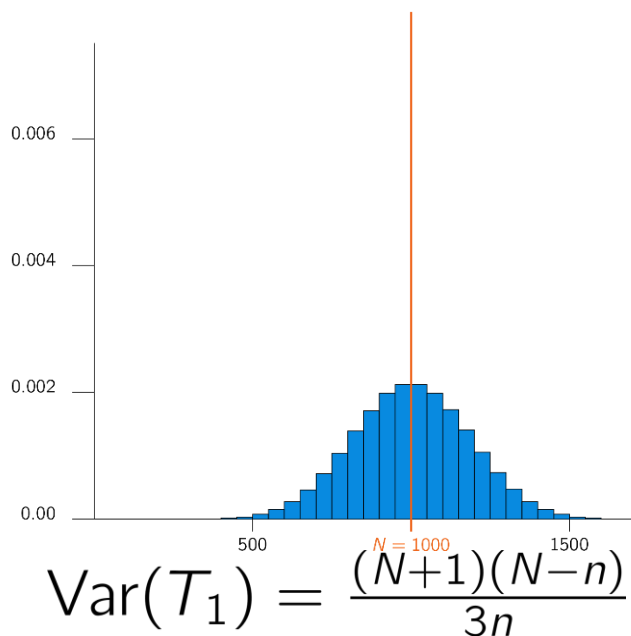
then T_2 is more efficient than T_1 .



Urn without replacement (German Tanks)

The ball numbers X_i of draws from an urn without replacement are modeled as random variables from $\{1, 2, \dots, N\}$ with uniform distribution. Two unbiased estimators for N are

$$T_1 = 2\bar{X}_n - 1 \quad \text{and} \quad T_2 = \frac{n+1}{n} \max_{i=1}^n \{X_i\} - 1.$$



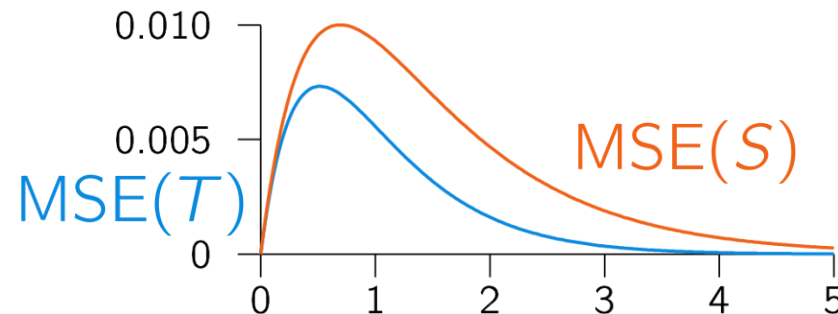
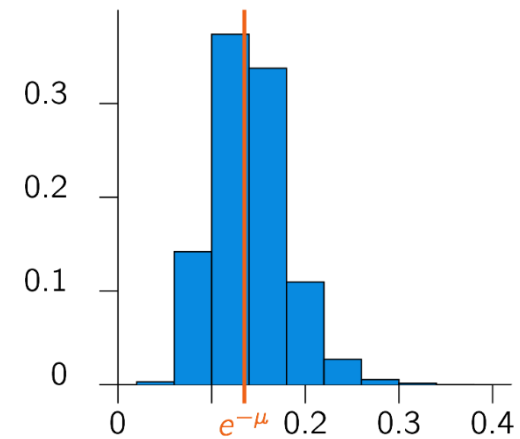
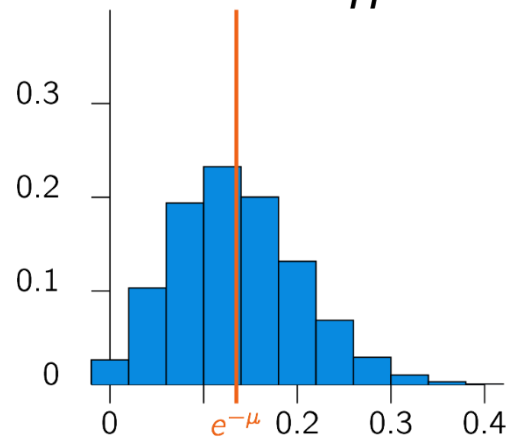
Downtime on a network server

The number of packets arriving at a server in one minute is modeled as $X_i \sim \text{Pois}(\mu)$. Two estimators for $P(X_i = 0) = e^{-\mu}$ are

$$S = \frac{\text{number of } X_i = 0}{n}$$

and

$$T = e^{-\bar{X}_n}$$



Estimators and efficiency

Consider the following two statements about two estimators S and T :

1. If $\text{Var}(S) < \text{Var}(T)$, then S is more efficient than T .
2. If S is unbiased and T is biased, then always $\text{Var}(S) < \text{Var}(T)$.

- A.** Only 1 is true
- B.** Only 2 is true
- C.** 1 and 2 are both false
- D.** 1 and 2 are both true

Minimum mean square error estimators

MMSE Estimation by a Constant

Suppose we wish to estimate a random variable Y with **known** distribution by a constant δ

We will consider the more general cases soon

The **estimation error** for estimating Y by a constant δ is the random variable

$$e = Y - \delta$$

The **mean square error (MSE)** if Y is continuous-type is given by

$$\text{MSE} = E[(Y - \delta)^2] = \int_{-\infty}^{\infty} (v - \delta)^2 f_Y(v) dv$$

MMSE Estimation by a Constant

Another way to write the MSE is with

$$\begin{aligned}\text{MSE} &= E[Y^2 - 2\delta Y + \delta^2] \\ &= E[Y^2] - 2\delta E[Y] + \delta^2\end{aligned}$$

Now, differentiate and equate to 0:

$$\frac{d\text{MSE}}{d\delta} = -2E[Y] + 2\delta^* = 0 \Rightarrow \delta^* = E[Y]$$

The **minimum mean square error (MMSE) estimator** of Y by a constant δ is given by

$$\delta^* = E[Y]$$

The MSE in this case is?

MMSE Estimation: General Case

Goal: Estimate Y based on an observable random variable X when the joint pdf (or pmf) of X and Y is **known**

Objective: Determine the function g such that the **estimator** $g(X)$ minimizes the mean square error (MSE):

$$g^*(X) = \underset{g}{\operatorname{argmin}} E([Y - g(X)]^2)$$

The random variable $g^*(X)$ is called the **unconstrained MMSE optimal** estimator of Y given X

MMSE Estimator: General Case

Recall: The conditional expectation of Y given $X = u$ is given by

$$E[Y|X = u] = \int_{-\infty}^{\infty} v f_{Y|X}(v|u) dv$$

which is a function of u .

MMSE Estimator: General Case

Stated in words: the MMSE estimator of Y given X is the expected value of Y conditioned on X .

Is the MMSE estimator unbiased?

Linear MMSE Estimators

It is often impossible to determine the MMSE estimator

- $E[Y|X = u] = \int_{-\infty}^{\infty} v f_{Y|X}(v|u) dv$ may not have a closed form expression
- It may require massive computation to calculate $E[Y|X = u]$
- The joint pdf $f_{X,Y}$ may be unknown

Let us consider **linear minimum mean square error (LMMSE)** estimators of Y given X

Objective: Determine the function $L(X) = aX + b$ (i.e., the constants a and b) that minimizes

$$\text{MSE} = E[(Y - [aX + b])^2]$$

LMMSE Estimators

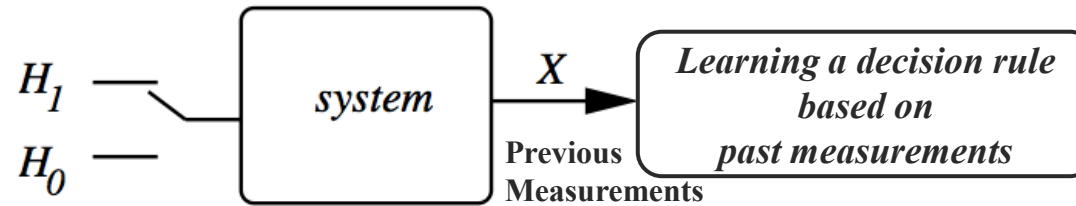
Prop. The LMMSE estimator of Y given X is

$$\begin{aligned}\hat{E}[Y|X] &= \mu_Y + \left[\frac{\text{Cov}(Y, X)}{\text{Var}(X)} \right] (X - \mu_X) \\ &= \mu_Y + \sigma_Y \rho_{Y,X} \left(\frac{X - \mu_X}{\sigma_X} \right)\end{aligned}$$

Binary hypothesis testing

Binary Hypothesis Testing:

Basic Framework



MRI Scan Machine

H₁: Patient has a tumor

H₀: Patient doesn't have a tumor

Images captured from brain when H₁ or H₀:

e.g. X = No. of abnormal spots in the image

Binary: Either hypothesis H_1 is true or hypothesis H_0 is true.

Based on which hypothesis is true, system generates a set of observations X .

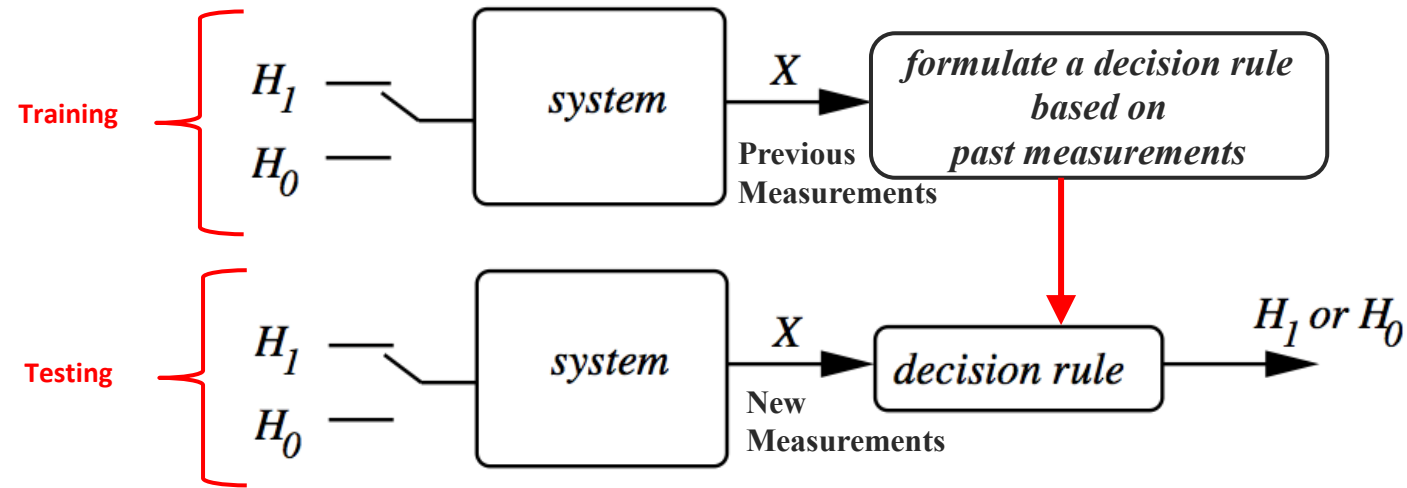
We use the past observations and find **the conditional probabilities** of different patterns under each hypothesis:

- e.g. What is the probability of observing two abnormal spots ($X = 2$) given patient has a tumor (H_1)?

	$X = 0$	$X = 1$	$X = 2$	$X = 3$
H_1	0.0	0.1	0.3	0.6
H_0	0.4	0.3	0.2	0.1

Binary Hypothesis Testing:

Basic Framework



Either hypothesis H_1 is true or hypothesis H_0 is true.

Based on which hypothesis is true, system generates a set of observations X .

We measure the past observations to **learn the conditional probabilities** of different patterns under each hypothesis:

- e.g. What is the probability of observing two abnormal spots ($X = 2$) if patient has a tumor (H_1)?

Next we **formulate a decision rule** that is then used to determine whether H_1 or H_0 is true for **new measurements**.

Note that the system has uncertainty or the features are not the best, so the decision rule can sometimes declare a true hypothesis, or it can make an error

Example 1

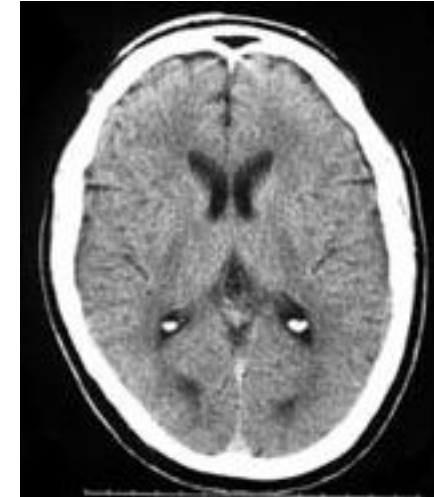
Suppose the data is from a computer aided tomography (CAT) scan system, and the hypotheses are:

- H_1 : A tumor is present
- H_0 : No tumor is present

We model the number of abnormal spots observed in the image by a discrete random variable X .

Suppose:

- If hypothesis H_1 is true (given), then X has pmf p_1
- If hypothesis H_0 is true (given), then X has pmf p_0



Note that p_1 and p_0 are conditional pmf's, described by a **likelihood Matrix**

		$X = 0$	$X = 1$	$X = 2$	$X = 3$	
$P(X = k H_1) \Rightarrow$	H_1	0.0	0.1	0.3	0.6	← Given a tumor, what is the probability of observing 3 spots
$P(X = k H_0) \Rightarrow$	H_0	0.4	0.3	0.2	0.1	

Example 1: Decision Rule

A decision rule specifies for each possible observation (each of the possible values of X), which hypothesis is declared.

Typically a decision rule is described using a likelihood matrix. Here we underline one entry in each column, to specify which hypothesis is to be declared for each possible value of X .

Example: A *probability-based decision rule*: H_1 is declared when the probability of an observation given hypothesis H_1 is higher than its probability given H_0 :

	$X = 0$	$X = 1$	$X = 2$	$X = 3$	
H_1	0.0	0.1	<u>0.3</u>	<u>0.6</u>	If we observe $X = 2, 3$ in the new measurements, H_1 (tumor) is declared, otherwise H_0 (no tumor).
H_0	<u>0.4</u>	<u>0.3</u>	0.2	0.1	
	Declare H_0		Declare H_1		

Example *intuitive decision rule*: H_1 is declared whenever $X \geq 1$:

	$X = 0$	$X = 1$	$X = 2$	$X = 3$	
H_1	0.0	<u>0.1</u>	<u>0.3</u>	<u>0.6</u>	← underlines indicate the decision rule used for this example.
H_0	<u>0.4</u>	0.3	0.2	0.1	

Binary Hypothesis Testing

In a binary hypothesis testing problem, there are two possibilities for which the hypothesis is true, and two possibilities for which hypothesis is declared:

H_0 = Negative or null hypothesis,

H_1 = Positive or alternative hypothesis

So there are four possible outcomes:

1. H_1 is declared given Hypothesis H_1 is true. => **True Positive**
2. H_1 is declared given Hypothesis H_0 is true. => **False Positive (False Alarm)**
3. H_0 is declared given Hypothesis H_0 is true. => **True Negative**
4. H_0 is declared given Hypothesis H_1 is true. => **False Negative (Miss Detection)**

Probability of False Alarm and Miss

Two conditional probabilities are defined:

$$p_{\text{false-alarm}} = P(\text{declare } H_1 \text{ true} | H_0)$$

=> **Type I Error**

$$p_{\text{miss}} = P(\text{declare } H_0 \text{ true} | H_1)$$

=> **Type II Error**

	$X = 0$	$X = 1$	$X = 2$	$X = 3$
H_1	0.0	<u>0.1</u>	<u>0.3</u>	<u>0.6</u>
H_0	<u>0.4</u>	0.3	0.2	0.1

Decision Rule

If we modify the sample decision rule in the previous example to declare H_1 when $X = 1$:

So what decision rule should be used?

- Trade-off between the two types of error probabilities
- Evaluate the pair of conditional error probabilities $(p_{\text{false-alarm}}, p_{\text{miss}})$ for multiple decision rules and then make a final selection

Maximum Likelihood (ML) Decision Rule

Maximum likelihood (ML) decision rule declares the hypothesis that *maximizes the probability (likelihood) of the observation*

$$P(X = k | H_0) \text{ and } P(X = k | H_1)$$

ML decision rule is based on *likelihood matrix*, the matrix of conditional probabilities of

$$P(X = k | H_i)$$

ML decision rule is specified by underlining the larger entry in each column of likelihood matrix.

If the entries in a column are identical, then either can be underlined.

	$X = 0$	$X = 1$	$X = 2$	$X = 3$
H_1	0.0	0.1	<u>0.3</u>	<u>0.6</u>
H_0	<u>0.4</u>	<u>0.3</u>	0.2	0.1

Maximum a posteriori probability (MAP) Decision Rule

Maximum a-posteriori probability (MAP) decision rule declares the hypothesis which *maximizes the posteriori probabilities*

A Posteriori probability is a conditional probability that an observer would declare a hypothesis, given an observation k :

$$P(H_0 | X = k) \text{ and } P(H_1 | X = k)$$

So given an observation $X = k$, the MAP decision rule chooses the hypothesis with the larger posteriori probability

Maximum a posteriori probability (MAP) Decision Rule (Cont'd)

So the MAP decision rule requires the computation of the ***joint probabilities***:

But we have:

- $P(X = k | H_i)$ from the likelihood matrix
- $P(H_0)$ and $P(H_1)$ which are called the ***prior probabilities***.

The prior probabilities are determined independent of the experiment and prior to any observation is made.

Maximum a posteriori probability (MAP) Decision Rule (Cont'd)

MAP decision rule creates a **joint probability matrix**: this is a matrix of the joint probabilities of $P(H_i, X = k)$.

Each row H_i in the joint probability matrix is π_i times the corresponding row of the likelihood matrix.

The sum of entries in row H_i is π_i and the sum of all the entries in the matrix is one.

Likelihood Matrix				$\xrightarrow{\pi_0=0.8 \quad , \quad \pi_1=0.2}$	Joint Probability Matrix				
	$X = 0$	$X = 1$	$X = 2$	$X = 3$		$X = 0$	$X = 1$	$X = 2$	$X = 3$
H_1	0.0	0.1	0.3	0.6	H_1	0.00	0.02	0.06	0.12
H_0	0.4	0.3	0.2	0.1	H_0	0.32	0.24	0.16	0.08.

Maximum a posteriori probability (MAP) Decision Rule (Cont'd)

MAP decision rule is specified by underlining the larger entry in each column of the joint probability matrix.

If the entries in a column are identical, then either can be underlined.

	$X = 0$	$X = 1$	$X = 2$	$X = 3$
H_1	0.00	0.02	0.06	<u>0.12</u>
H_0	<u>0.32</u>	<u>0.24</u>	<u>0.16</u>	0.08

Average Error Probability

Remember the conditional probabilities of:

$$p_{\text{false-alarm}} = P(\text{declare } H_1 \text{ true} | H_0)$$

$$p_{\text{miss}} = P(\text{declare } H_0 \text{ true} | H_1)$$

The **average error probability** is defined as:

$$p_e = \pi_0 p_{\text{false-alarm}} + \pi_1 p_{\text{miss}}$$

p_e is the sum of all the entries in the *joint probability* matrix that are not underlined.

Among all decision rules, MAP is the one that minimizes $p_e \Rightarrow$ Optimal

	$X = 0$	$X = 1$	$X = 2$	$X = 3$
H_1	0.00	0.02	0.06	<u>0.12</u>
H_0	<u>0.32</u>	<u>0.24</u>	<u>0.16</u>	0.08

Likelihood Ratio Test (LRT)

A way to generalize the ML and MAP decision rules into a single framework is using LRT.

Define the likelihood ratio $\Lambda(k)$ for each possible observation k as the ratio of the two conditional probabilities:

$$\Lambda(k) = \frac{p_1(k)}{p_0(k)} = \frac{P(X = k | H_1)}{P(X = k | H_0)}$$

A decision rule can be expressed as an LRT with threshold τ :

$$\Lambda(X) \begin{cases} > \tau & \text{declare } H_1 \text{ is true.} \\ < \tau & \text{declare } H_0 \text{ is true.} \end{cases}$$

What happens to $P_{\text{false-alarm}}$ and p_{miss} if τ increases?

Likelihood Ratio Test (LRT) (Cont'd)

If the observation is $X = k$:

The ML rule declares hypothesis H_1 is true, if $p_1(k) > p_0(k)$ and otherwise it declares H_0 is true.

So the ML rule can be specified using an LRT with $\tau = 1$:

$$\Lambda(X) = \frac{p_1(k)}{p_0(k)} = \begin{cases} > 1 & \text{declare } H_1 \text{ is true.} \\ < 1 & \text{declare } H_0 \text{ is true.} \end{cases}$$

The MAP rule declares hypothesis H_1 is true, if $\pi_1 p_1(k) > \pi_0 p_0(k)$ and otherwise it declares H_0 is true.

So the MAP rule can be specified using an LRT with $\tau = \frac{\pi_0}{\pi_1}$:

$$\Lambda(X) = \frac{p_1(k)}{p_0(k)} = \begin{cases} > \frac{\pi_0}{\pi_1} & \text{declare } H_1 \text{ is true.} \\ < \frac{\pi_0}{\pi_1} & \text{declare } H_0 \text{ is true.} \end{cases}$$

For uniform priors $\pi_0 = \pi_1$, MAP and ML decision rules are the same

Example 2: Discrete Case

Suppose you have a coin and you know that either:

- H1: the coin is biased, showing heads on each flip with probability $2/3$; or
- H0: the coin is fair, showing heads and tails with probability $1/2$

Suppose you flip the coin five times. Let X be the number of times heads shows.

Describe the ML and MAP decision rules using LRT.

Find $P_{\text{false-alarm}}$, P_{miss} , and P_e for both decision rules.

Use the prior probabilities of $(\pi_0, \pi_1) = (0.2, 0.8)$



Example 2 (Cont'd)

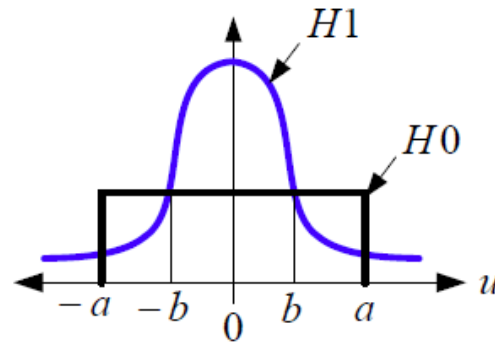
The rows of the likelihood matrix consist of the pmf of X :

	$X = 0$	$X = 1$	$X = 2$	$X = 3$	$X = 4$	$X = 5$
H_1	$\left(\frac{1}{3}\right)^5$	$5\left(\frac{2}{3}\right)\left(\frac{1}{3}\right)^4$	$10\left(\frac{2}{3}\right)^2\left(\frac{1}{3}\right)^3$	$10\left(\frac{2}{3}\right)^3\left(\frac{1}{3}\right)^2$	$5\left(\frac{2}{3}\right)^4\left(\frac{1}{3}\right)$	$\left(\frac{2}{3}\right)^5$
H_0	$\left(\frac{1}{2}\right)^5$	$5\left(\frac{1}{2}\right)^5$	$10\left(\frac{1}{2}\right)^5$	$10\left(\frac{1}{2}\right)^5$	$5\left(\frac{1}{2}\right)^5$	$\left(\frac{1}{2}\right)^5$

Example 3

An observation X is drawn from a standard normal distribution (i.e. $N(0,1)$) if hypothesis $H1$ is true and from a uniform distribution with support $[-a, a]$, if hypothesis $H0$ is true.

As shown in the figure, the pdfs of the two distributions are equal when $|u| = b$.

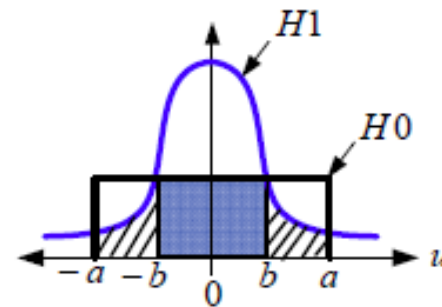


- Describe the maximum likelihood (ML) decision rule in terms of observation X and constant values a and b .
- Shade and label the regions in the figure such that the area of one region is the $P_{false-alarm}$ and the area of the other region is the p_{miss} .
- Express the $P_{false-alarm}$ and p_{miss} for ML decision rule in terms of a and b and the $\Phi(u)$, i.e., the CDF of the standard normal distribution.

Example 3 (Cont'd)

- (a) From the figure, the pdf for H_1 is smaller than the pdf for H_0 precisely when $b < |u| < a$. Thus, the ML rule is given by:

$$\hat{H} = \begin{cases} H_0 & b < |X| < a \\ H_1 & \text{otherwise} \end{cases}$$



■ $P_{\text{false-alarm}}$
▨ P_{miss}

(b)

- (c) These probabilities are calculated as follows:

$$\begin{aligned} P_{\text{false alarm}} &= \frac{2b}{2a} = \frac{b}{a} \\ P_{\text{miss}} &= 2(\Phi(a) - \Phi(b)) = 2(Q(b) - Q(a)) \end{aligned}$$